Chapter 6. Making Money from Your Game

If you make a game to give away, or as an art project or a student project, then you can follow your heart and make whatever game you can afford to build. However, if you're making a game for sale, it will have to appeal to your target audience, and that will influence your design decisions. Even more importantly, *how* and *where* you sell your game will affect your decisions. In this chapter, we'll present an overview of the different ways that you can make money from your game, and how different monetization schemes (ways of making money) will affect the way you design your game. First we'll look at direct payment models, in which customers simply buy the game, and then at indirect models, in which they pay in other ways. We'll also consider ways you can still make money even though you give the game away free of charge. The chapter ends with a brief discussion of world markets.

DIRECT PAYMENT MODELS

The direct payment model, in which players simply purchase a game, either as a whole or over time, is the oldest. With retail sales or digital distribution, players simply buy your game outright. Three other approaches are subscription-based sales (players subscribe to your game as a service rather than buying it as a product), episodic delivery (players buy episodes of your game as they become available), and crowdfunding (players pay for your game in advance as a way of funding its development). We'll look at all of them.

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Retail Sales

The traditional distribution and sales model for video games is the retail model, and although it is in decline for PC games, it remains strong for console games. It's not used for mobile phone games at all, although it is for dedicated handhelds. The reason that the retail model remains popular for certain kinds of games can be summed up in one word: Christmas. People like to buy, and to receive, physical objects as Christmas presents, and the conventional game industry is still heavily dependent on the Christmas retail buying season for its annual revenue. This model works well for large studios making large games, but not for small independents because they have limited access to shelf space and marketing.

The key drawback to retail sales is that you must have a publisher or distributor to get your game onto the store shelves. Retailers, and especially large retail chains like Wal-Mart, make deals only with suppliers they know, and especially suppliers who will devote a lot of money to marketing their product.

Normally a publisher will either develop a game in-house or will contract with a development studio to develop it for them. Either way, they finance development of the game, and they're also responsible for marketing it, which costs still more money. The marketing for retail games can easily cost three to ten times as much as the development costs. These costs tend to make publishers conservative—they're interested only in publishing games that have a good chance of earning back the money invested in them. Many games don't turn a profit, so the hit games subsidize the others.

Publishers almost never accept submissions from people they've never heard of; even more important to them than the quality of the game idea is the reliability of the developer. They like to work with people who they have worked with before, people who have a track record for delivery. Electronic Arts made a business out of finding good developers, publishing their games for several years, and then buying them up outright and turning them into an in-house development team. This was a way of rewarding the owners of good development

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companies, while gaining control over their intellectual property.

Note

Occasionally, but very rarely, a development company will have enough (or can raise enough) money to design and build a large game without any support from the publisher. This means that they get a much better deal from the publisher, and the publisher has little leverage over them to insist that the game be made the publisher's way. This happened when GSC Game World made *S.T.A.L.K.E.R.: Shadow of Chernobyl* for THQ (a publisher that is now defunct).

Once the game is built, the publisher pays to have it manufactured, and they market it to the world. If it's a console or dedicated handheld game, the hardware company (Nintendo, Sony, and so on) does the manufacturing at a large price per disk or cartridge, which is how those companies make most of their money. If it's a PC game, the manufacturing is fairly inexpensive.

In the retail sales model, the publisher sells the game at wholesale to the retailer. Typically the retailer marks up the wholesale price by anywhere from 25 percent to 100 percent and sells it to the consumer. The publisher pays the developer a *royalty* of 10 to 15 percent of what the publisher nets after subtracting the manufacturing costs. In other words, if a customer pays $50 for a game, and the publisher has a $10 profit after paying for manufacturing, the developer gets $1.00 to $1.50...at most. This is a gross oversimplification of a very complicated business, but it gives you a general idea of how it works. As you can see, it's not very much per copy, but with a blockbuster like *Grand Theft Auto V,* a developer can still earn tens or even hundreds of millions of dollars.

From a design standpoint, the chief constraint on a game distributed at retail is publisher conservatism, and a major reason for this conservatism is inventory risk—the chance that a publisher will pay to manufacture more copies than the market wants to buy and get stuck with them. These games simply must sell well; there's no

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room for niche market games that appeal to only a few people. The retailers can't afford to have their limited store shelves occupied by stock the consumer doesn't want, and the publishers can't afford to manufacture a lot of games that nobody will buy. If a publisher is financing your company to build a game for them, even if the game was originally your idea, you can expect them to want a lot of input into its design.

Digital Distribution

Distributing games electronically over the Internet gets rid of inventory risk and cuts out the retailers, which offers game developers (and publishers, if there is a publisher) far more freedom and flexibility. There's no retailer taking a cut, and if no publisher financed the development or marketing, they don't get a cut either. Instead, the organization that actually does the distribution takes a percentage. For example, if you sell a game on Steam, the Apple App Store, or Xbox Live Marketplace, those organizations will take a certain amount per copy sold. It is difficult to discover exactly how much, because these organizations are reluctant to discuss it, but estimates are generally around 30 percent, leaving the remaining 70 percent to go directly to the developer.

That may sound very good, but this kind of electronic distribution has two serious disadvantages. First, if there is no publisher, you have to market the game yourself, and as we have already seen, the marketing can be extremely expensive. Most small developers count on building buzz through word-of-mouth, developer diaries, a presence on social networks, and other inexpensive methods that they hope will go viral. This is great if it works, but it doesn't have the impact that television advertising does. Without any marketing, your game simply disappears into the vast pile of anonymous games that fill the App Store.

The second disadvantage is that the prices are far lower. The online customer simply isn't prepared to pay $50 for a video game; for that amount of money, they expect to get a physical object. Most App Store games cost between one and five dollars. Once you deduct your marketing costs, even with a 70 percent cut, the revenue you can

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expect per unit sold is less than you might make at retail unless you have the great good luck to create a hit.

However, this model gives you much more freedom as a designer than the retail model does. Normally these distribution portals don't care too much what you do as long as it doesn't offend them; if you want to make a game for a niche market, that's OK, because they don't have to deal with physical copies, that is, inventory.

Subscriptions

In the subscription model, players pay you a fee, usually monthly, for access to games that you provide via your own servers. This used to be the standard model for massively multiplayer online games (MMOGs), but it is gradually being replaced by the indirect payment models described in the next section. Subscription models obviously make sense only if you are selling access to game content that changes periodically, or to a game that works more as an ongoing service than as a single entertainment experience (such as an adventure game). Subscription-based games need access to a server to be played.

The subscription model actively discourages some players, who don't like the idea of having to continue to pay again and again to play a game. It also means that you have to live up to your obligation to provide an enjoyable experience on a continuing basis to earn subsequent payments. Under the retail and electronic distribution models, players pay once, and your responsibility to them ends with delivery of the product, apart from customer service to help users who have problems.

Episodic Delivery

Many developers have expressed an interest in trying to find a way to deliver game software in episodes, like a television show. There have been several efforts to do so over the years: *Majestic, Kentucky Route Zero,* and *The Walking Dead* are all episodic games. Instead of paying every month as with a subscription, customers pay for each new episode as it becomes available.

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Episodic games are not the same as sequels in a franchise. Ordinarily the story in a sequel is different from its predecessor or, if the game has no story (as in long-running sports franchises), the technology and features are different. Episodic games, by contrast, are really one big game distributed in pieces over time (although they sometimes include technology updates as well). Because you make and release only one episode at a time, the game gets quickly to market and you can benefit from consumer feedback about one episode before you begin the next one.

Episodic delivery allows you to charge the player a smaller price per episode than a full online sale would cost, which makes the game more attractive to players. If the game is entertaining enough, this builds customer loyalty and encourages them to continue buying episodes, which means they can end up spending more than they ordinarily would on a single sale.

The disadvantages of episodic delivery are that you still have to have all the core mechanics and user interface (UI) software written prior to delivering the first episode, which can be expensive. If interest in the game tails off after a few episodes, you may find that your revenue stream is not great enough to finish the game in the way that you planned, and you have to shorten the story line or leave out features that you had already promised to your customers.

As a designer, delivering your game episodically means that it must be designed to be episodic in the first place. This works well for games with stories, but less well for games that cannot easily be broken up into episodes, such as sandbox games or sports games.

Crowdfunding

You don't necessarily have to wait until your game is finished to get money for it; you can fund its development by asking people to pay you in advance, a process called *crowdfunding*. Normally you do this through an online system that takes a percentage of the money you earn. Kickstarter and Indiegogo are the two best-known examples.

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A number of crowdfunded games have been hugely successful at raising money. The Double Fine studio asked for $400,000 and got $3,336,371 for a new game, which caused game developers to take this model seriously for the first time. Several other games have now surpassed this record.

Crowdfunding may sound easy, but it requires a lot of preparation to run a successful campaign. You will need to create high-quality videos of your work and to give regular updates to your funders. It works best for people who already have a positive reputation in the industry. Players are unlikely to donate money to people they've never heard of. Most crowdfunding is not a form of investment, but simply a form of preordering: Players get a copy of the game once it comes out, along with extras if they pay more.

As a means of raising money, crowdfunding doesn't affect your design decisions much. Naturally, your game must sound exciting to your potential donors, but you are free of pressures from publishers and retailers because you deliver the game directly to the people who gave you money. This model is particularly popular with developers with niche market projects who don't necessarily want to reach the widest population possible, but to target dedicated fans. The game that Double Fine is developing will be a point-and-click adventure, a genre that is not broadly popular but has passionate support among its players.

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INDIRECT PAYMENT MODELS

The recent explosion in the popularity of video games can be attributed to several factors—the new emphasis on casual games, the arrival of smartphones, and the fact that middleware now makes it easier than ever to develop games. More important than any of these, however, has been the shift to indirect payment models. Asking a player to pay between $20 and $75 in advance for the game—the traditional model—represents a serious barrier to less dedicated players. By allowing them to pay a little at a time, or only for the parts of the game that they want to pay for, we make it easier to attract them to our games. However, most of these models work only with games that are delivered online, either with a continuous or a periodic connection to a server operated by the development company.

The state of this business is still in flux, and that includes its terminology. Don't be surprised if you hear these terms used differently by different people. When in doubt, ask for clarification.

Freemium Games

In the *freemium* (*free+premium*) model, a business gives away a partially functional version of its software but allows customers to purchase upgrades that render it more useful. (If the free version of the software is too weak to be good for much, it is derogatorily called *crippleware*.) The first products to be widely successful under the freemium model were antivirus suites.

In the case of games, you give away the game but offer premium items for sale within the game (called in-app purchases or IAPs) that make the game more fun or interesting. This usually takes the form of *downloadable content* (DLC). Downloadable content can consist of all kinds of things: extra levels, new clothing for an avatar character, additional game modes, and new objects in the game, such as weapons or powerups. Dance games often offer additional music as downloadable content, which helps to keep the experience fresh if the players

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are getting tired of the music that came with the original game.

The chief criticism of the freemium model, from a player's perspective, occurs when the game isn't any fun without buying the premium content—the game equivalent of crippleware. Naturally, as a designer, you want people to pay you, but you also have to make your game enjoyable enough that they *want* to pay you.

Pay-to-Win: A Bad Idea

The majority of freemium games are single-player or multiplayer cooperative experiences. However, you can also make multiplayer competitive or team-based games in which players purchase premium items. If these items are not merely cosmetic, but confer an actual gameplay advantage in competition with others, the game is described as *pay-to-win*. Rich players can simply buy better weapons, armor, or other items than poorer players, and so they beat them by spending real-world money. In other words, they are altering the mechanics of the game in their favor.

This design produces a lucrative (for the publisher) arms race among players who try to outspend each other to gain a competitive advantage, but it is bad sportsmanship and violates an essential rule of multiplayer competitive play: The game must be fair. Tiger Woods, no matter how rich he is, cannot simply buy a tee 50 yards closer to the hole that his competitors cannot use. It is essential to golf that all golfers play on the same course. Video games can be asymmetric, with different players playing by different rules for one reason or another, but they still must be fair and give all the players an equal chance of winning (except for differences in talent or experience), regardless of how much money they have. Many players find pay-to-win designs highly objectionable.

The freemium model affects game design because rather than designing one single experience, you have to design an experience that can be upgraded through purchases—and you have to make sure that these purchases are desirable enough that you can earn a living from your game. Many of the games that use this model are endless online games in which players keep advancing forever, buying more and more premium items. Freemium games rely heavily on statistics collected from players to find out how often they are logging in, how long they are playing, and above all, what they are buying. Designers then use these statistics to tune the game in an effort to provide more of what players are enjoying, and thus generate more revenue. Traditional game designers tend to find this data-driven design

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rather soulless, since the games it creates are less a product of creative vision than of numerical analysis.

Free-to-Play

In *free-to-play* games, players get a version of the game that is free but is designed to encourage them to pay a subscription or some other kind of fee. A common design allows players to play completely free of charge forever, but advancement in the game is very slow, and players must log off periodically and come back later to continue. Paying a fee removes this limitation. Another approach puts free players on one set of servers and paying players on another. The servers for paying players are much less crowded, so the player experiences better performance from the game.

Many free-to-play games are designed to offer the player a small amount of advancement in the game at frequent intervals in response to fairly trivial player activities—sometimes this means the player doesn't have to do anything more than click a button to advance, as in *Mafia Wars*. This setup always gives the player something easy to do. Although keeping the player occupied may sound desirable as a game design principle, it can be overdone or so extreme that the player feels like an animal being trained to press a button on cue in exchange for a reward.

The free-to-play model is closely related to the freemium model, and many free-to-play games also include premiums that players can buy.

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Advertising and Sponsorships

You can earn revenue by selling advertising alongside your game. Advertising that appears beside your game on the player's screen does not intrude too much, and you earn money for each person who sees, or clicks on, one of the ads. This model is normally used for online games and, if successful, can even enable you to give away the game for free and make all the money from the ads. Many of the games on Facebook and Yahoo! work this way. Some developers also sell an ad-free version of the same game to players who don't like the advertisements and are willing to pay not to see them.

You can also have advertisements appear within your game; you do this by selling sponsorships to companies that want to have their message in your game world. If your game is a standalone game sold at retail or online, the sponsor simply pays you based on the number of copies that you sell; if the game is an online game delivered via a server, they will pay you per view or per click as is done when the advertising appears alongside the game.

Sponsorships are most common in sports games and vehicle simulations that emulate a real-world sport or car race. Since the real-world events have advertising signage, it's only natural that the video game should too. Obviously this doesn't work in games set in fantasy worlds or the ancient past, where advertising would be out of place.

The design implications of advertising, and especially of sponsorship, are that your game content must not upset your sponsors. With sports games this is unlikely to be a problem, but it is something to bear in mind.

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Commissioned Games

The final category is the commissioned or sponsored game, in which you get paid to build a game for someone else, but you don't get any royalties for sales. The only money you see is what you get paid to build the game in the first place, which means that you must build your profit margin into the price you charge to do the work. This model is normally used when a charity or government agency wants to give away a game for free for some reason—often for an educational or informative purpose.

With a commissioned game, naturally you must work closely with your client to make the game that they want. Of all the business models described here, this one constrains the designer the most, because it is really the client's game and not the designer's. However, it can be a lot of fun to work with such clients and make a game that pleases them, especially if you also believe in the message they want to deliver with their game.

WORLD MARKETS

The appetite for video games is growing all over the world, but different regions like different kinds of things and have different amounts of money to spend. In this section, we'll look very briefly at various world markets, including both traditional and emerging markets.

Traditional Markets

The traditional markets for video games are, not surprisingly, in the developed and high-tech world. Even these, however, are quite distinct. They include

- **The English-speaking world.** The U.S. is the largest market for video games in the world, and the vast majority of games, no matter where they are developed, are aimed at this market. (Games made by the Japanese for their own large market are a notable exception.) Americans like happy endings; they prefer to see virtue rewarded. Grim Kafka-esque stories are not popular except among a subcategory of disaffected youth. Games with military themes also sell well generally in the U.S., but as the country that invented video

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games, with a large, diverse population, almost any kind of game can be developed for this audience. The United Kingdom, English-speaking Canada, Australia, and New Zealand all have a similar per capita demand for games and generally, their audiences have similar tastes in game genres, but of course these are smaller overall markets due to their smaller populations. These markets also tend to be more cynical, however, and they find the flag-waving military games made for the American market rather self-righteous.

- **Continental Europe.** European demand for games is similar to the American demand, but Europe is more complicated to develop for because each nation has its own language, and tastes in games vary somewhat among them. Many Northern Europeans (Nordic countries and the Netherlands) are happy to buy games in English because they routinely learn English in school. The largest markets, however, including France and Germany, prefer games in their own language. In general, Europeans like darker stories and regard some games made for Americans as rather saccharine. They are much less concerned by nudity and sexual themes than Americans are and are more disturbed by violence. Also, as a result of their experience with Nazi Germany, Europeans are suspicious of overt displays of patriotism. A uniform labeling standard called Pan European Game Information (PEGI) is emerging so that developers don't have to submit their games to be rated to authorities in each country. However, Germany, Finland, and some others still retain their own rating systems. European countries have no strong tradition of freedom of expression in commercial entertainment, and many countries exercise outright censorship, especially Germany, which prohibits any Nazi symbols.
- **Japan.** The Land of the Rising Sun is unique among video-game-playing countries. Some of

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the most successful game characters and franchises (*Mario, Zelda, Final Fantasy, Metal Gear Solid,* and so on) come from Japan, yet these games make few concessions to Western tastes. Rather, Western gamers have come to appreciate Japanese games just as they are. The converse is not the same, however; the Japanese do not play many Western games, and it is almost impossible for a Western game company to work in Japan without a Japanese partner. Japan has a large and highly successful game industry of its own, and in addition to the worldwide hits just mentioned, the game industry in Japan makes many, many games that they never export because the Japanese consider them too distinctly Japanese to be popular elsewhere. Namco did not originally intend to publish *Katamari Damacy* in the West, but the response of western reviewers was so positive that they changed their minds. Dating simulations, a kind of role-playing game (RPG) about dating rather than combat, are another example of games that are seldom exported to the West. Romantic and explicit sexual content are far more acceptable in Japan than they are in the West.

- **South Korea.** Korean demand for games is not as great as that of Japan and, as a more socially conservative country, erotic content is less acceptable. The most distinctive feature of Korean gaming is how Koreans like to play: in public spaces. Role-playing and real-time strategy games and especially massively multiplayer online role-playing games (MMORPGs) are particularly popular, and these are played in a *PC bang* (literally, "PC room")—a large commercial space outfitted with many desks and LAN-connected PCs, rather like an Internet café only much bigger. Professional gaming is also more popular in South Korea than anywhere else. Large prizes are offered and top players practice for several hours every day. Despite its age,

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StarCraft is a favorite game for professional competitions.

Emerging Markets

These markets are ones to watch over the next 20 years or so, as their populations and economic fortunes rise. They're listed here in the order in which we expect them to take up gaming on a large scale.

- **China.** Although China is not as economically advanced as the rest of the Far East, its sheer population makes it one to watch in the future. Software piracy is rampant in China, so developers have turned to selling online games that use a subscription or freemium model; as a result, China now contributes one third of the worldwide online gaming revenue. Video game consoles were banned as harmful to youth education until 2013, and it remains to be seen if sales will be significant now that they're allowed. Because few Chinese can afford personal computers, Internet cafés are popular. The Chinese government is cautiously supportive of gaming, but is suspicious of anything that could be interpreted as criticism of the authorities or their policies. Censorship is absolute, and the Internet firewall that prevents access to many Western websites makes it complicated for Western companies to do business there; most online games played by the Chinese are domestically produced.
- **India.** With a population close to that of China and a growing middle class, India is the next country to watch as an emerging market. However, despite these indicators, the country is unlikely to take up PC and console games in large numbers soon. Despite having a similar population, India has only a little over one-fourth as many PCs as China does. In India, there is a strong emphasis on education, which makes parents reluctant to buy consoles. Consequently, the Indian gaming revolution, when it comes, will almost certainly be on mobile phones. At the

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moment only 10 percent of India's 400 million mobile phones are smartphones capable of playing games, but we can expect this to change over the next few years. India's middle class is also English speaking, which will make it easier to make games for that market. However, Indians are very socially conservative (couples do not kiss in public), which will restrict the kinds of games that will be acceptable to them.

- **Mexico, Central, and South America.** This region has a rapidly growing enthusiasm for games, but of course it has a far smaller population than either of the two preceding countries. Brazil is an emerging economic powerhouse, and the Mexican retail video game industry is now larger than the movies and music industries combined, and it is still growing rapidly. The other nations in the region vary considerably, but all except Brazil (the national language in Brazil is Portuguese) are Spanish speaking, which makes localization easier (although local idioms can still trip up the incautious translator).
- **The Islamic world.** Certain parts of the Islamic world (Saudi Arabia, the Emirates) are very wealthy and can easily afford video games, while others (Sudan, Palestine) are severely disadvantaged. These markets will continue to grow in the future, though much more slowly than India and China. The real obstacle to acceptance of video games is cultural. Muslim countries have no history of video gaming and are unlikely to want games made for the West. Their social conservatism, even greater than that of India, means that great care must be taken not to offend local sensibilities. Contrary to stereotype, most of the Muslim world does not speak Arabic (the largest Muslim country in the world is Indonesia), but there is a band of Arabic-speakers from North Africa to Iraq that will make it easier to localize games for those countries (with the same caveat about local idiom that applies to all

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the Hispanic countries). In other respects—varying local cultures and tastes—the Islamic world resembles Europe, thus complicating development.

- **Sub-Saharan Africa.** This region will be the last to get into video gaming for both financial and cultural reasons. These nations speak hundreds of different languages and localizing for them will be extremely difficult; in addition, they have less money available for luxury entertainment like video gaming, and no history of involvement with high technology. South Africa is an exception, although its middle class is not yet large enough overall to represent an important market.

SUMMARY

This chapter didn't teach you much about *how* to design games, but it showed you how your design decisions can be influenced by how you make money from your game and where you choose to sell it. You now know something about both the traditional direct payment models and the new indirect ones. You also have learned which markets around the world are large and stable and which are growing, either rapidly or slowly. This information will help you as you begin to create your game concept, which is the subject of the next chapter.

DESIGN PRACTICE QUESTIONS

1. Who will finance the development of your game? A publisher, an investor, a client, yourself, or someone else? How do you expect this relationship (if it's not yourself) to affect your design choices?
2. Who is going to market your game? If the answer is "I am," what are your plans to do so and what resources (money and staff) have you allocated to it?
3. How do you hope to make money from your game? Via a direct payment model or an indirect payment one?

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4. If your answer to question 3 was a direct payment model, which one? If you plan to use a subscription model or episodic delivery, do you have the resources to make a game that you will regularly update?
5. If your answer to question 3 was an indirect payment model, which one? If you plan to use a freemium model, have you thought of some premium items that you can sell for money in your game?
6. Do you know in what markets you hope to sell your game? Are you familiar enough with its tastes and barriers to entry?

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